

Austal Limited **AUTLF**

August 12, 2026 - 12:28pm EST

by

Lyncroft

2026 2027

Price:	3.15	EPS	0	0
Shares Out. (in M):	420M	P/E	0	0
Market Cap (in \$M):	1,324M	P/FCF	0	0
Net Debt (in \$M):	-169	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

I'll keep this brief because I think the set-up is fairly straightforward.

Austal is a major naval and commercial shipbuilder with operations in the U.S., Australia, and Asia. Hanwha, which already has approximately 20% economic exposure to Austal, has made a non-binding proposal to acquire Austal USA at an enterprise value of \$1.05–\$1.20 billion.

Austal's entire current EV is only about \$1.15 billion.

Using just the low end of Hanwha's proposal, the market is assigning roughly \$100 million of enterprise value to the remaining Australasia business. That business is expected to generate just under \$44 million of FY26 EBIT, meaning the remainco is valued at only ~2.4× EV/EBIT.

Comparable non-U.S. naval shipbuilders trade at roughly 11–24× EV/EBIT. Valuing the remainco at just 11× EBIT, while using the bottom end of Hanwha's offer, implies approximately 29% upside to the current share price.

USD

Price		3.15
Shares		420236003
MarketCap		1323743409
Net Cash	\$	169,720,800.00
EV	\$	1,154,022,609.45
Low end of offer	\$	1,050,000,000.00
Residual	\$	104,022,609.45

Australia EBIT	\$	43,844,540.00
Multiple		2.372532805

Fair Multiple		11
Fair value residual	\$	482,289,940.00
New Total EV	\$	1,532,289,940.00

Price target	\$	4.05
Upside		29%

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Deal progresses

Messages

Subject	This time is different?
Entry	08/12/2026 01:18 PM
Member	sunshine21
The deal has been rejected before... and they didn't cite price, but regulatory concerns. It's THE Australian ship builder, I doubt the government will be ok with a Korean company taking it over. Any reason to believe otherwise? https://www.reuters.com/markets/deals/australias-austal-rejects-662-mln-offer-hanwha-ocean-regulatory-concerns-2024-04-01/	
Subject	Re: This time is different?
Entry	08/12/2026 01:37 PM
Member	Lyncroft
This offer is just for US business. The Committee on Foreign Investment in the United States (CFIUS) granted Hanwha clearance to increase its shareholding in Austal up to 100% in June of 2025.	
Subject	Re: Re: This time is different?
Entry	08/12/2026 02:38 PM
Member	sunshine21
Clearly I can't read... thanks for the clarification!	
Subject	If they accept the offer -
Entry	08/15/2026 12:08 PM
Member	virtualodin
what do you think they do with the cash? Big special div? Balance sheet? M&A?	
Subject	Australasia EBIT
Entry	08/15/2026 12:11 PM
Member	virtualodin
They're guiding for AUD \$62m in FY26 but last 5y average is ~\$15m. If the historical profitability is the run-rate, the valuation math on the stub changes drastically. Any reason to think this massive profitability step-up is durable? Ty!	
Subject	Re: Australasia EBIT
Entry	08/17/2026 10:59 AM
Member	Lyncroft
I think profitability is supported by: 1. operating leverage from better capacity utilization (which should be baked in due to backlog), and 2. Repeat programs which minimize risk of cost overages	
Subject	Re: If they accept the offer -
Entry	08/17/2026 11:01 AM
Member	Lyncroft
My expectation is a special div	